

The Finance Commission - The Foundation Track

Chapter F1.10 — From Zero: Article 280, Vertical and Horizontal Devolution, and Why the State Finance Commission Behaves So Differently

Module	Foundation Layer — Module 1 — Indian Polity, Constitution and Governance
Chapter	Chapter F1.10
Topic	Official syllabus head 1 — Indian Polity, Constitution and Governance
Version	v1.0
Compiled	15 August 2026
Exam stage	Recruitment Test (RT)

NOTE · HOW TO USE THIS DOCUMENT

The second half of the high-yield cluster identified in F1.9. It begins with the problem the Finance Commission solves - the structural mismatch by which the Union collects the most buoyant taxes while the States carry the heaviest expenditure responsibilities - and explains vertical and horizontal devolution as the two distinct questions the Commission answers. It covers Article 280 in full: constitution, composition, the qualifications prescribed by the Finance Commission (Miscellaneous Provisions) Act 1951, and the terms of reference. It works the distinction between the Commission's recommendations and their acceptance, and the constitutional status of the tax-devolution recommendation after the 80th Amendment. It then takes the criteria and weights used by recent Commissions, the 14th and 15th Commissions' principal changes, and the 16th Finance Commission now in progress. It sets the Finance Commission against the former Planning Commission and NITI Aayog, distinguishes Article 275 statutory grants from Article 282 discretionary grants, and closes on the Article 243-I State Finance Commission - explaining why the two institutions, though constitutionally parallel, behave so differently in practice. Study time 2 hours 30 minutes.

This is the FOUNDATION layer. Article 280, the 1951 Act's qualifications, and the structural distinctions are settled. The exact criteria weights of the 15th Finance Commission and the composition and terms of reference of the 16th are as reported at August 2026; the 16th Commission's recommendations cover the period beginning 2026-27 and specific figures from its report are marked CONFIRM. Current CRR and SLR figures are deliberately left blank by design, as recorded in the register.

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0. The Problem the Commission Exists to Solve

The Union collects the money. The States spend it. Something has to bridge the gap, and the Constitution names it.

WHY THIS EXISTS · THE STRUCTURAL MISMATCH, STATED PLAINLY

Recall from F1.8 that the Seventh Schedule divides not only legislative subjects but **taxing powers**. When you look at how that division worked out, a systematic imbalance appears.

The Union got the most BUOYANT taxes - taxes whose yield grows faster than the economy: **income tax, corporation tax, customs, excise, and now the Union's share of GST**. These are broad-based, elastic, and administratively suited to central collection.

The States got the heaviest EXPENDITURE responsibilities - look again at the State List: **police, public health and hospitals, agriculture, land, local government, water supply**. And after the 73rd and 74th Amendments they also carry the obligation to fund a third tier. **These are exactly the functions that consume money: salaries, hospitals, schools, roads.**

So the mismatch is structural, not accidental. It is sometimes called a **VERTICAL FISCAL IMBALANCE** - the Union has more revenue than functions, the States more functions than revenue. **Every federation has some version of it**, and every federation needs a transfer mechanism.

India's answer is Article 280: an independent, periodic, expert body that recommends how much of the Union's tax revenue goes to the States, and how it is divided among them.

Two reasons this chapter earns its place, and the first is examination arithmetic. As F1.9 established, **local government and Finance Commissions together supplied FOUR Polity questions in the verified 2023 paper against only TWO from Fundamental Rights**. This is factual, structured territory that generates clean questions.

The second reason is that it connects to your own organisation. The **Central Government's 1.16 per cent contribution to the Employees' Pension Scheme** and EPFO's establishment expenses are met from the **Consolidated Fund of India** - and what the Union has left to spend after devolving to the States is determined by the Finance Commission's vertical recommendation. **The chain from Article 280 to your organisation's budget is real, if indirect.**

STUDY SESSION · CHAPTER F1.10 - THE FOUR SESSIONS

- 1 **Session 1** - Article 280: constitution, composition, functions (Section 1)
 - 2 **Session 2** - **Vertical and horizontal devolution, and the criteria** (Section 2)
 - 3 **Session 3** - The 14th, 15th and 16th Commissions; grants and comparisons (Section 3)
 - 4 **Session 4** - **The State Finance Commission**, and why it differs (Section 4)
- Then **40 graded questions**. Budget **three sessions**, about **a day**.

1. Session 1 - Article 280 ★★★★★

MUST MASTER · ARTICLE 280 - THE TEXT AND WHAT IT REQUIRES

- 1 **Article 280(1)** - The **PRESIDENT** shall, **WITHIN TWO YEARS** from the commencement of this Constitution and thereafter at the expiration of every **FIFTH YEAR** or at such earlier time as the President considers necessary, by order **CONSTITUTE** a Finance Commission
- 2 **Composition:** a **CHAIRMAN** and **FOUR OTHER MEMBERS** - so **FIVE members in total**
- 3 **Article 280(2)** - **Parliament may by law determine the QUALIFICATIONS** which shall be requisite for appointment as members and the manner of their selection
- 4 **Article 280(3)** - it shall be the duty of the Commission to make **RECOMMENDATIONS** to the President as to:
 - 5 **(a)** the **DISTRIBUTION between the Union and the States of the NET PROCEEDS of taxes** which are to be, or may be, divided between them, and the **ALLOCATION AMONG THE STATES of the respective shares** of such proceeds
 - 6 **(b)** the **PRINCIPLES which should govern the GRANTS-IN-AID of the revenues of the States** out of the Consolidated Fund of India
 - 7 **(bb)** the measures needed to **augment the Consolidated Fund of a STATE to supplement the resources of the PANCHAYATS** - inserted by the **73rd Amendment**
 - 8 **(c)** the measures needed to augment the Consolidated Fund of a State to supplement the resources of the **MUNICIPALITIES** - inserted by the **74th Amendment**
 - 9 **(d)** any other matter referred to the Commission by the President **in the interests of sound finance**
- 10 **Article 281** - the President shall **cause every recommendation of the Commission, together with an EXPLANATORY MEMORANDUM as to the ACTION TAKEN thereon, to be LAID BEFORE EACH HOUSE OF PARLIAMENT**

Three points from the text that matter:

- 1 **Sub-clauses (bb) and (c) were inserted by the 73rd and 74th Amendments** - so the Finance Commission's mandate was **expanded in 1992** to cover local bodies. **This is the direct textual link between F1.9 and this chapter**, and it is a good examination point
- 2 **"NET PROCEEDS"** means the proceeds of a tax **reduced by the cost of collection**, as certified by the CAG. So devolution is of net, not gross, collections
- 3 **Article 281's laying requirement with an explanatory memorandum on action taken** is the accountability mechanism. **The Government need not accept a recommendation, but it must tell Parliament what it did about it and why**

MUST MASTER · QUALIFICATIONS - THE FINANCE COMMISSION (MISCELLANEOUS PROVISIONS) ACT 1951

Under Article 280(2) Parliament enacted the **Finance Commission (Miscellaneous Provisions) Act 1951**, prescribing:

- 1 **The CHAIRMAN** shall be selected from among persons who have had **EXPERIENCE IN PUBLIC AFFAIRS**
- 2 **The four other members** shall be selected from among persons who:
 - 3 **are, or have been, or are QUALIFIED TO BE APPOINTED AS, a JUDGE OF A HIGH COURT;** or
 - 4 have **SPECIAL KNOWLEDGE OF THE FINANCES AND ACCOUNTS OF GOVERNMENT;** or
 - 5 have had **WIDE EXPERIENCE IN FINANCIAL MATTERS AND IN ADMINISTRATION;** or
 - 6 have **SPECIAL KNOWLEDGE OF ECONOMICS**

Learn the Chairman's qualification separately, because it is distinct and frequently asked: EXPERIENCE IN PUBLIC AFFAIRS. The other four categories are for the members, not the Chairman.

Members are eligible for REAPPOINTMENT. They must not have any financial or other interest likely to affect their functions.

Note what the Commission IS, in the F2.10 three-fact classification:

- 1 **NATURE** - a **CONSTITUTIONAL** body, under Article 280. **Not statutory, not executive**
- 2 **PARENT** - constituted by the **President**; serviced administratively by the Ministry of Finance
- 3 **DISTINCTIVE FACT** - **quasi-judicial in character** and **constituted every FIVE YEARS**

The "constitutional / statutory / executive" classification is the single most reliable way to answer institutional questions, as F2.10 established. Finance Commission =

CONSTITUTIONAL. NITI Aayog = EXECUTIVE. Zonal Councils = STATUTORY. GST Council = CONSTITUTIONAL. Inter-State Council = CONSTITUTIONAL.

MUST MASTER · RECOMMENDATIONS AND THEIR ACCEPTANCE - THE 80TH AMENDMENT POINT

The general rule: the Finance Commission's recommendations are ADVISORY and NOT BINDING on the Government of India. The Constitution does not compel acceptance; Article 281 requires only that the recommendation and the action taken be laid before Parliament.

But there is an important qualification that candidates miss. By convention of long standing, the recommendations on TAX DEVOLUTION have always been accepted by the Union Government, and the mechanism was strengthened by the **80th AMENDMENT ACT 2000.**

What the 80th Amendment did: it gave effect to the **10th Finance Commission's "Alternative Scheme of Devolution"**, substituting **Article 270** so that a **SHARE OF THE NET PROCEEDS OF ALL UNION TAXES AND DUTIES** (with specified exceptions) is assigned to the States - replacing the earlier arrangement under which only **income tax (Article 270)** and **Union excise duties (Article 272)** were shareable.

The consequences are significant and examinable:

- 1 **The DIVISIBLE POOL became broad** - covering Union taxes generally rather than two named taxes
- 2 **States gained a stake in the buoyancy of ALL central taxes**, not just two
- 3 **Article 272 was OMITTED** by the same amendment, since Union excise duties now fall within the general Article 270 pool
- 4 **CESSES and SURCHARGES remain OUTSIDE the divisible pool** - and this is the standing State grievance, because a rising share of central revenue has been raised through cesses and surcharges which the States do not share. **This is the most substantial live controversy in Indian fiscal federalism and a good interview point**

So the accurate formulation, and it distinguishes a careful answer from a careless one: the recommendations are formally advisory; the tax-devolution recommendation is accepted by unbroken convention; and the grants recommendations are accepted selectively, with the Government stating its reasons to Parliament under Article 281.

CHECK YOURSELF · SESSION 1

- 1 State the structural mismatch the Commission exists to address
- 2 How often must a Finance Commission be constituted, and by whom?
- 3 What is its composition?
- 4 Recite the four heads of Article 280(3), and say which two were inserted by which amendments
- 5 What does "net proceeds" mean, and who certifies it?
- 6 What does Article 281 require?
- 7 State the Chairman's qualification and the four categories for the other members
- 8 Classify the Finance Commission as constitutional, statutory or executive
- 9 Are the recommendations binding? What is the position on tax devolution specifically?
- 10 What did the 80th Amendment do, and which article did it omit?
- 11 Why are cesses and surcharges controversial?

2. Session 2 - Vertical and Horizontal Devolution



START FROM ZERO · TWO ENTIRELY DIFFERENT QUESTIONS

The Commission answers **two separate questions**, and confusing them is the commonest conceptual error in this chapter.

QUESTION 1 - VERTICAL DEVOLUTION. *Of the divisible pool of central taxes, what SHARE goes to the States as a whole?*

- 1 This is a **single percentage**
- 2 The **15th Finance Commission recommended 41 per cent** for the States collectively
- 3 The **14th had recommended 42 per cent**, and the reduction to 41 was made to accommodate the reorganisation of Jammu and Kashmir into Union Territories, which are financed directly by the Union
- 4 **The remaining share stays with the Union** to meet its own expenditure - defence, central schemes, interest, and the establishment costs of central bodies including EPFO

QUESTION 2 - HORIZONTAL DEVOLUTION. *Having fixed the States' collective share, how is it DIVIDED AMONG the individual States?*

- 1 This requires a **FORMULA with weighted criteria**
- 2 It is much harder politically, because it is **zero-sum between States** - a higher weight on population helps populous States, a higher weight on income distance helps poorer States, and a higher weight on tax effort helps efficient States

The distinction in one sentence: VERTICAL is Union versus States; HORIZONTAL is State versus State. Every question about "the share of the States" is vertical; every question about "criteria and weights" is horizontal.

MUST MASTER · THE 15TH FINANCE COMMISSION'S HORIZONTAL CRITERIA AND WEIGHTS

The 15th Finance Commission's formula for distributing the States' share among themselves. **These weights are examinable and the set should be learned together, because they sum to 100.**

Criterion	Weight	What it rewards or recognises
Income distance	45%	The distance of a State's per capita income from the highest. Rewards NEED - poorer States get more. The largest single weight
Population (2011)	15%	Recognises need in proportion to people to be served
Area	15%	Recognises that a larger area costs more to administer
Forest and ecology	10%	Compensates States for the opportunity cost of maintaining forest cover - an ecological incentive
Demographic performance	12.5%	Rewards States that CONTROLLED population growth , measured by the inverse of the total fertility rate. Introduced to offset the shift to the 2011 census
Tax and fiscal effort	2.5%	Rewards States that collect their own revenue efficiently

Check: $45 + 15 + 15 + 10 + 12.5 + 2.5 = 100$. Verifying that the weights sum to 100 is the fastest way to confirm you have recalled the set correctly.

THE MOST IMPORTANT SINGLE POINT ABOUT THIS TABLE - the 2011 census controversy.

The 14th Finance Commission used the **1971 census** for the population criterion (with a small weight for the 2011 census), reflecting the long-standing policy - which you met in F1.5 for Lok Sabha seats and in F1.6 for the Presidential election - of **freezing population figures at 1971 so as not to penalise States that successfully reduced fertility.**

The 15th Finance Commission was directed by its terms of reference to use the 2011 census. Southern States objected strongly, arguing that they had reduced fertility as a matter of national policy and were now being penalised for it in fiscal transfers.

The Commission's answer was to introduce the DEMOGRAPHIC PERFORMANCE criterion at 12.5 per cent, measured using the **inverse of the total fertility rate** - so States with lower fertility score higher. **This was an explicit device to offset the effect of moving to the 2011 census. That is the whole controversy in three sentences, and it is exactly the kind of reasoning an interview question rewards:** the shift to 2011 population data was demographically accurate but politically unfair to States that had done what national policy asked; the demographic performance criterion was the compensating adjustment; and Southern States continue to argue that the compensation is incomplete.

FROM YOUR OWN WORLD · THE FORMULA AS A BRANCH-ALLOCATION MODEL

A bank allocating a marketing budget across its branch network faces exactly the Commission's horizontal problem, and resolves it the same way.

You could allocate purely by **existing business volume** - which rewards the strongest branches and starves the weakest. Or purely by **catchment population** - which ignores whether a branch is capable of converting it. Or purely by **need**, sending most to the weakest branches - which rewards failure. **None of these alone is defensible, so in practice you build a weighted formula: some weight to potential, some to population, some to performance, some to cost of operation.**

The Finance Commission's formula is that exercise at national scale, and it faces the same objection every such formula faces: **whichever weights you choose, somebody can show that a different set would have been fairer.**

And notice the structural tension the bank knows well. Weighting **need** (income distance, 45 per cent) transfers resources to States that have less. Weighting **performance** (tax effort at 2.5 per cent, demographic performance at 12.5 per cent) transfers to States that have done well. **Those pull in opposite directions, and the weights are the negotiated answer.** A formula that weighted only need would remove the incentive to improve; one that weighted only performance would abandon the poorest. **That is why the answer is a formula and not a principle** - and it is a genuinely good answer to "how would you design fiscal transfers?"

CHECK YOURSELF · SESSION 2

- 1 Distinguish vertical from horizontal devolution in one sentence
- 2 What vertical share did the 14th and 15th Commissions recommend, and why did it change?
- 3 Recite the six horizontal criteria with their weights, and check they sum to 100
- 4 Which criterion carries the largest weight, and what does it reward?
- 5 Which census did the 14th use, and which was the 15th directed to use?
- 6 Why did Southern States object, and what device did the Commission use to answer them?
- 7 How is demographic performance measured?
- 8 Explain the tension between weighting need and weighting performance

3. Session 3 - The Commissions, Grants, and Comparisons ★★★★★

MUST MASTER · RECENT COMMISSIONS - WHAT TO KNOW ABOUT EACH

Commission	Chairman	Principal features
13th	Vijay Kelkar	Vertical share 32% ; emphasis on a fiscal-consolidation roadmap
14th	YV Reddy	Vertical share raised sharply to 42% - the largest single increase in the Commission's history · discontinued the plan / non-plan distinction · recommended against sector-specific grants · used the 1971 census predominantly
15th	NK Singh	Vertical share 41% (reduced from 42 to account for J&K's reorganisation into UTs) · directed to use the 2011 census · introduced DEMOGRAPHIC PERFORMANCE at 12.5% in response · recommended substantial grants for local bodies and health · covered 2021-22 to 2025-26
16th	Arvind Panagariya	Constituted 2023 ; recommendations for the period beginning 2026-27 . Terms of reference include tax devolution, grants-in-aid, local body augmentation, and review of the financing arrangements for DISASTER MANAGEMENT under the Disaster Management Act 2005. Specific figures from its report are CONFIRM

The three facts most likely to be asked about the sequence: the 14th raised the vertical share to 42 per cent, the 15th set it at 41 per cent, and the 16th is chaired by Arvind Panagariya with recommendations effective from 2026-27.

The **FIRST Finance Commission** was constituted in **1951** under the chairmanship of **KC Neogy**.

The **Commission is constituted every five years**, so the numbering runs continuously from 1951.

One structural change worth noting from the 14th. By **discontinuing the plan / non-plan distinction** in expenditure classification, the 14th Finance Commission effectively completed a shift that the abolition of the Planning Commission the same year began. **Before 2014-15, Indian public finance was organised around "plan" and "non-plan" expenditure; afterwards around revenue and capital.** That is a significant change in how the Budget you met in F1.5 is presented.

3.1 Grants-in-aid: Article 275 against Article 282

Transfers to States take two forms beyond tax devolution, and the distinction is precise and examinable.

Feature	Article 275	Article 282
Character	STATUTORY / obligatory	DISCRETIONARY
Basis	Charged on the Consolidated Fund , on the Finance Commission's recommendation	Any grant for ANY PUBLIC PURPOSE , even outside legislative competence
Purpose	Revenue-gap grants; specific grants for STs, Scheduled Areas and Assam's tribal areas	The basis of CENTRALLY SPONSORED SCHEMES
Who decides	Effectively the Finance Commission	The Union Government of the day
Controversy	Limited	Substantial - lets the Union set State priorities

MUST MASTER · THE ARTICLE 282 CONTROVERSY

The Article 282 controversy is worth understanding because it is the constitutional foundation of an important debate. The article was intended for **occasional, exceptional grants**. In practice it has become the vehicle for **large centrally sponsored schemes** operating in State List subjects - health, education, water supply, rural development.

The criticism: a scheme in a State List subject, designed centrally and funded conditionally, lets the Union direct State policy in areas the Seventh Schedule assigned to the States - **achieving indirectly what Article 246(3) would not permit directly**. That echoes the doctrine of **colourable legislation** from F1.8, though the courts have not treated Article 282 grants as unconstitutional.

The defence: national minimum standards in health and education are legitimate national objectives; States are free to decline; and the Union bears most of the cost.

The balanced formulation: Article 282 provides necessary flexibility, but the growth of conditional central schemes in State subjects, combined with the exclusion of cesses and surcharges from the divisible pool, is what States mean when they complain about **fiscal centralisation** notwithstanding a formally high devolution percentage. **That is the sharpest thing you can say about Indian fiscal federalism, and it draws on F1.8 and this chapter together.**

3.2 Finance Commission against Planning Commission and NITI Aayog

Feature	Finance Commission	Planning Commission	NITI Aayog
Status	CONSTITUTIONAL (Art 280)	Executive	Executive
Created	President , every 5 yrs	Cabinet resolution 1950	Cabinet resolution 2015
Head	Chairman	Chairman was the PM	PM , with a CEO
Function	Recommends devolution and grants	ALLOCATED plan assistance	Think tank; NO allocation role
Fate	Continuing	Abolished 2014	Current

KNOW · THE COMPARISON POINT THAT MATTERS

The single most important comparison point: the Planning Commission ALLOCATED funds; NITI Aayog does NOT. When the Planning Commission was abolished, its fund-allocation function was not transferred to NITI Aayog - it substantially reverted to the **Finance Ministry** and to the enlarged **Finance Commission devolution**. **So NITI Aayog is a think tank and policy forum, not a resource allocator**, and a question suggesting otherwise is wrong.

And note the consequence for the Finance Commission's importance. With the Planning Commission gone and the plan/non-plan distinction discontinued, **the Finance Commission became the principal formal channel of Union-to-State transfers** - which is precisely why its recommendations attract the attention they now do.

CHECK YOURSELF · SESSION 3

- 1 Name the chairmen of the 13th to 16th Commissions
- 2 Which Commission raised the vertical share to 42 per cent, and which reduced it to 41 and why?
- 3 What did the 14th discontinue, and what did that change about the Budget?
- 4 Who chaired the FIRST Finance Commission, and in what year?
- 5 What is distinctive in the 16th Commission's terms of reference?
- 6 Distinguish Article 275 from Article 282 on character, basis, purpose and who decides
- 7 State the criticism and the defence of Article 282 grants
- 8 Compare the Finance Commission, Planning Commission and NITI Aayog on status and function
- 9 Which body allocated funds, and which does not?

4. Session 4 - The State Finance Commission



MUST MASTER · ARTICLE 243-I AND 243Y - THE STATE FINANCE COMMISSION

Recall from F1.9 that the 73rd and 74th Amendments created a **State-level analogue** of the Finance Commission.

- 1 **Article 243-I** - the **Governor of a State shall, as soon as may be within one year from the commencement of the 73rd Amendment, and thereafter at the expiration of every FIFTH YEAR, constitute a FINANCE COMMISSION** to review the financial position of the **PANCHAYATS**
- 2 **Article 243Y** - the **same** Finance Commission constituted under Article 243-I shall also review the financial position of the **MUNICIPALITIES**
- 3 **Composition and qualifications** - as the **State Legislature** may by law provide
- 4 **Function** - to make recommendations as to:
 - 5 the **distribution between the State and the panchayats/municipalities** of the net proceeds of the taxes, duties, tolls and fees leviable by the State
 - 6 the **determination of taxes** which may be assigned to or appropriated by local bodies
 - 7 the **grants-in-aid** to local bodies from the Consolidated Fund of the State
 - 8 measures needed to **improve the financial position** of local bodies
- 9 **The Governor shall cause every recommendation, with an EXPLANATORY MEMORANDUM as to the ACTION TAKEN, to be LAID BEFORE THE STATE LEGISLATURE** - the exact analogue of Article 281

Note again the "ONE, NOT TWO" point from F1.9: a State constitutes ONE Finance Commission, which covers BOTH panchayats and municipalities.

MUST MASTER · WHY THE TWO COMMISSIONS BEHAVE SO DIFFERENTLY

On paper the Union and State Finance Commissions are close parallels: both constitutional, both quinquennial, both recommending devolution downward, both requiring an action-taken memorandum to be laid before the legislature. **In practice they behave very differently, and understanding why is the most valuable thing in this session.**

Four structural reasons:

- 1 **THE APPOINTING AUTHORITY IS DIFFERENT IN SUBSTANCE.** The Union Commission is constituted by the **President** on the advice of the Union Council of Ministers - a body with no direct stake in reducing transfers to States, since the States are separate governments. **A State Finance Commission is constituted by the Governor, effectively by the State Government - which is the very body being asked to give money away to local bodies it controls politically.** The incentive to constitute it promptly and act on it is weaker
- 2 **QUALIFICATIONS ARE NOT CONSTITUTIONALLY PRESCRIBED.** For the Union Commission, **Parliament prescribed detailed qualifications in the 1951 Act.** For State Commissions, composition and qualifications are left to **State law**, and in practice appointments have often been made from serving officials rather than independent experts
- 3 **THERE IS NO CONVENTION OF ACCEPTANCE.** The Union Government has accepted every tax-devolution recommendation by unbroken convention, reinforced by the 80th Amendment's broad divisible pool. **No comparable convention binds State Governments**, and State Finance Commission reports have frequently been delayed, not constituted on time, or accepted only in part
- 4 **THE LOCAL BODIES LACK POLITICAL LEVERAGE.** States negotiate with the Union from a position of real political strength - they have MPs, Chief Ministers, and a seat on the GST Council. **Panchayats and municipalities have none of that**, so there is little pressure to honour the recommendations

The consequence, stated honestly: the **third tier's finances remain the weakest link in Indian fiscal federalism**, and this is the fiscal counterpart of the **three Fs** problem from F1.9. **Structure was mandated; money, like power, was left to State discretion.**

And note the constitutional response that partially addresses it. Article 280(3)(bb) and (c) - inserted by the same two amendments - require the **UNION Finance Commission** to recommend measures to augment the Consolidated Fund of a State **to supplement the resources of panchayats and municipalities.** **So the Union Commission was given a role in local finance precisely because the State route was expected to be weak.** Successive Union Commissions, and the 15th in particular, have accordingly recommended substantial **direct grants to local bodies**, often with conditions such as the timely constitution of State Finance Commissions and the publication of audited accounts.

That is the most sophisticated point in this chapter: the Union Finance Commission now uses its grants to enforce the discipline that Article 243-I failed to produce on its own.

ACTION · WHERE THIS LEAVES YOU, AND WHAT F1.11 DOES

The high-yield cluster identified in F1.9 is now complete. **You should revise F1.9 and F1.10 together**, because the 2023 paper counted them as one block and because the two chapters interlock at three points: **Article 280(3)(bb) and (c)**, the **State Finance Commission under Article 243-I**, and the **three Fs / fiscal-devolution parallel**.

Next: Chapter F1.11 - CONSTITUTIONAL BODIES, STATUTORY BODIES AND RTI. It applies the **three-fact rule from F2.10** systematically across the institutions the paper likes to test - the **Election Commission, UPSC and State PSCs, the CAG, the Attorney General** (already met in F1.6), the **National Commissions for SCs, STs and Backward Classes**, the **Comptroller's audit relationship to Parliament's PAC** from F1.5, and the **Right to Information Act 2005** with the Information Commissions. It is a chapter of classifications, and the discipline is exactly the one that answered five questions in the 2023 paper: **nature, parent, one distinctive fact.**

5. Graded Practice - 40 Questions ★★★★★

5.1 Level 1 - Recognition

Q. 1. The Finance Commission is constituted under

(a) Article 275 (b) Article 280 (c) Article 282 (d) Article 243-I

Q. 2. The Finance Commission consists of

(a) a Chairman and two members (b) a Chairman and three members (c) a Chairman and four members (d) a Chairman and six members

Q. 3. The Finance Commission is constituted every

(a) three years (b) four years (c) five years (d) ten years

Q. 4. The Finance Commission is constituted by the

(a) Prime Minister (b) President (c) Union Finance Minister (d) Parliament

Q. 5. The qualification prescribed for the Chairman of the Finance Commission is

(a) special knowledge of economics (b) experience in public affairs (c) qualification to be a High Court judge (d) wide experience in financial matters

Q. 6. The Act prescribing qualifications for Finance Commission members is of

(a) 1935 (b) 1951 (c) 1976 (d) 2000

Q. 7. The requirement to lay the Commission's recommendations before Parliament with an explanatory memorandum is in

(a) Article 279 (b) Article 280 (c) Article 281 (d) Article 282

Q. 8. The Finance Commission is

(a) a statutory body (b) a constitutional body (c) an executive body (d) a judicial body

Q. 9. The First Finance Commission was chaired by

(a) KC Neogy (b) Vijay Kelkar (c) YV Reddy (d) NK Singh

Q. 10. The 14th Finance Commission recommended a vertical devolution share of

(a) 32% (b) 39% (c) 41% (d) 42%

Q. 11. The 15th Finance Commission recommended a vertical share of

(a) 32% (b) 39% (c) 41% (d) 42%

Q. 12. The 15th Finance Commission was chaired by

(a) Vijay Kelkar (b) YV Reddy (c) NK Singh (d) Arvind Panagariya

Q. 13. The 16th Finance Commission is chaired by

(a) NK Singh (b) Arvind Panagariya (c) YV Reddy (d) Bibek Debroy

Q. 14. In the 15th Commission's formula, the criterion carrying the largest weight is

(a) population (b) area (c) income distance (d) demographic performance

Q. 15. The weight given to income distance was

(a) 15% (b) 25% (c) 45% (d) 50%

Q. 16. The weight given to demographic performance was

(a) 2.5% (b) 10% (c) 12.5% (d) 15%

Q. 17. Discretionary grants for any public purpose are made under

(a) Article 275 (b) Article 280 (c) Article 282 (d) Article 293

Q. 18. The State Finance Commission is constituted under

(a) Article 243-I (b) Article 243K (c) Article 280 (d) Article 282

5.2 Level 2 - Understanding

Q. 19. The vertical fiscal imbalance arises because

(a) States collect more revenue than the Union (b) the Union has the more buoyant taxes while the States carry the heavier expenditure responsibilities (c) the Constitution gives States no taxing powers (d) local bodies collect most taxes

Q. 20. Vertical devolution refers to the division

(a) among the States (b) between the Union and the States as a whole (c) between States and local bodies (d) between revenue and capital expenditure

Q. 21. Horizontal devolution refers to the division

(a) between the Union and the States (b) among the individual States (c) between plan and non-plan expenditure (d) between the Centre and local bodies

Q. 22. Sub-clauses (bb) and (c) of Article 280(3) were inserted by the

(a) 42nd and 44th Amendments (b) 73rd and 74th Amendments (c) 80th and 88th Amendments (d) 101st Amendment

Q. 23. "Net proceeds" of a tax means the proceeds

(a) before any deduction (b) reduced by the cost of collection, as certified by the CAG (c) after deducting State shares (d) after deducting cesses only

Q. 24. The 80th Amendment 2000

(a) abolished the Finance Commission (b) broadened the divisible pool to a share of the net proceeds of Union taxes generally and omitted Article 272 (c) made recommendations binding (d) created NITI Aayog

Q. 25. Cesses and surcharges are

(a) part of the divisible pool (b) outside the divisible pool, which is the principal State grievance (c) shared equally between Union and States (d) abolished by the 80th Amendment

Q. 26. The 15th Finance Commission reduced the vertical share from 42% to 41% because

(a) States had failed to meet fiscal targets (b) of the reorganisation of Jammu and Kashmir into Union Territories, financed directly by the Union (c) the Union needed more money for defence (d) the divisible pool had shrunk

Q. 27. The demographic performance criterion was introduced principally to

(a) reward population growth (b) offset the effect of the shift from the 1971 to the 2011 census on States that had reduced fertility (c) penalise Southern States (d) replace the area criterion

Q. 28. Demographic performance is measured using

(a) absolute population (b) the inverse of the total fertility rate (c) the sex ratio (d) the literacy rate

Q. 29. Which one of the following did the 14th Finance Commission discontinue?

(a) Tax devolution (b) The plan / non-plan distinction (c) Grants-in-aid (d) The Finance Commission itself

Q. 30. NITI Aayog differs from the Planning Commission chiefly in that

(a) it is a constitutional body (b) it has no fund-allocation role, being a think tank (c) it is chaired by the Finance Minister (d) it replaced the Finance Commission

Q. 31. Grants under Article 275 are

(a) discretionary (b) statutory and made on the Finance Commission's recommendation (c) made by NITI Aayog (d) available only to Union Territories

Q. 32. The constitutional basis of centrally sponsored schemes is

(a) Article 275 (b) Article 280 (c) Article 282 (d) Article 293

Q. 33. How many Finance Commissions does a State constitute for panchayats and municipalities?

(a) One for each (b) One covering both, under Article 243-I applied by Article 243Y (c) One per district (d) None

5.3 Level 3 - Recruitment Test standard**Q. 34. Match List-I with List-II and select the correct answer using the code below:**

List-I	List-II
A. Finance Commission	1. Article 282
B. Statutory grants-in-aid	2. Article 280
C. Discretionary grants	3. Article 243-I
D. State Finance Commission	4. Article 275

(a) A-2 B-4 C-1 D-3 (b) A-2 B-1 C-4 D-3 (c) A-4 B-2 C-1 D-3 (d) A-2 B-4 C-3 D-1

Q. 35. Consider the following statements:

- 1 The Finance Commission's recommendations are not binding on the Government of India.
- 2 The tax-devolution recommendation has nevertheless been accepted by unbroken convention.
- 3 Article 281 requires the recommendations and the action taken to be laid before Parliament.

Which of the above statements are correct?

(a) 1 and 2 only (b) 2 and 3 only (c) 1 and 3 only (d) 1, 2 and 3

Q. 36. The 15th Finance Commission's weights were: income distance 45, population 15, area 15, forest and ecology 10, demographic performance 12.5, tax and fiscal effort 2.5. These sum to

(a) 95 (b) 97.5 (c) 100 (d) 102.5

Q. 37. Which one of the following statements is not correct?

(a) The Finance Commission is a constitutional body constituted every five years (b) The Planning Commission allocated plan assistance and was abolished in 2014 (c) NITI Aayog took over the Planning Commission's fund-allocation role (d) The plan/non-plan distinction was discontinued on the 14th Commission's recommendation

Q. 38. Consider the following statements about the State Finance Commission:

- 1 It is constituted by the Governor every five years.
- 2 One Commission covers both panchayats and municipalities.
- 3 Its recommendations must be laid before the State Legislature with an action-taken memorandum.

Which of the above statements are correct?

(a) 1 and 2 only (b) 2 and 3 only (c) 1 and 3 only (d) 1, 2 and 3

Q. 39. The principal reason State Finance Commissions have been less effective than the Union Finance Commission is that

(a) they are not constitutional bodies (b) the State Government being asked to devolve controls both the Commission's constitution and the local bodies, there is no convention of acceptance, and local bodies lack political leverage (c) they have no statutory functions (d) the Union forbids their recommendations

Q. 40. Article 280(3)(bb) and (c) require the UNION Finance Commission to recommend measures to augment State funds for local bodies. The best explanation is that

(a) local bodies are central subjects (b) the State route under Article 243-I was expected to be weak, so the Union Commission was given a role in local finance (c) panchayats are financed entirely by the Union (d) the provision is redundant

6. Answers and Explanations

6.1 Level 1

Q	Ans	Explanation
1	b	Article 280
2	c	A Chairman and four other members - five in total
3	c	Every fifth year , or earlier if the President considers it necessary
4	b	President
5	b	Experience in public affairs - distinct from the four member categories
6	b	Finance Commission (Miscellaneous Provisions) Act 1951
7	c	Article 281
8	b	Constitutional
9	a	KC Neogy, 1951
10	d	42% - the largest single increase in the Commission's history
11	c	41%
12	c	NK Singh
13	b	Arvind Panagariya

Q	Ans	Explanation
14	c	Income distance at 45%
15	c	45%
16	c	12.5%
17	c	Article 282
18	a	Article 243-I

6.2 Level 2

Q	Ans	Explanation
19	b	The Union has the buoyant taxes; the States carry the heavy expenditure functions - a structural, not accidental, mismatch
20	b	Union versus States as a whole - a single percentage
21	b	Among the individual States - requires a weighted formula and is zero-sum between States
22	b	73rd and 74th Amendments - the textual link between F1.9 and this chapter
23	b	Reduced by the cost of collection, certified by the CAG
24	b	Broadened the divisible pool and omitted Article 272 , giving States a stake in all central taxes
25	b	Outside the divisible pool - the principal and most substantial State grievance
26	b	J&K's reorganisation into Union Territories , which the Union finances directly
27	b	To offset the shift to the 2011 census for States that had reduced fertility as national policy asked
28	b	The inverse of the total fertility rate - lower fertility scores higher
29	b	The plan / non-plan distinction
30	b	No fund-allocation role. The Planning Commission's allocation function reverted substantially to the Finance Ministry and to enlarged Finance Commission devolution
31	b	Statutory, on the Finance Commission's recommendation , charged on the Consolidated Fund
32	c	Article 282 - grants for any public purpose
33	b	One , under Article 243-I and applied to municipalities by Article 243Y

6.3 Level 3

Q	Ans	Explanation
34	a	A-2 Finance Commission = Art 280; B-4 statutory grants = Art 275; C-1 discretionary grants = Art 282; D-3 State Finance Commission = Art 243-I
35	d	All three correct. The accurate formulation: formally advisory, tax devolution accepted by convention, and Art 281 laying requirement
36	c	100. $45 + 15 + 15 + 10 + 12.5 + 2.5 = 100$. Checking the sum is the fastest way to verify recall of the set
37	c	(c) is FALSE. NITI Aayog has NO fund-allocation role . That function did not transfer to it
38	d	All three correct - constitution by the Governor every five years, one Commission for both tiers, and the action-taken memorandum to the State Legislature
39	b	The three structural reasons together. They are not non-constitutional - they are constitutional bodies, which is why (a) is wrong
40	b	The State route was expected to be weak , so the Union Commission was given a role - and successive Union Commissions have used conditional grants to enforce the discipline Art 243-I did not produce

7. One-Minute Revision

ONE-MINUTE REVISION · CHAPTER F1.10 - THE FINANCE COMMISSION

THE PROBLEM the Union has the **BUOYANT taxes** (income, corporation, customs, excise, its GST share) while **States carry the HEAVY expenditure functions** (police, health, agriculture, land, local government) · a **VERTICAL FISCAL IMBALANCE** · **Art 280 is India's answer** · **F1.9 + F1.10 together supplied FOUR 2023 Polity questions against Fundamental Rights' TWO** - revise them as one block

ARTICLE 280

- 1 **PRESIDENT** constitutes it, within two years of commencement and **thereafter every FIFTH YEAR** or earlier if he considers it necessary
 - 2 **CHAIRMAN + FOUR OTHER MEMBERS = FIVE in total**
 - 3 **280(2)** Parliament may prescribe qualifications → the **Finance Commission (Miscellaneous Provisions) Act 1951**
 - 4 **280(3) FUNCTIONS:** (a) distribution of **NET PROCEEDS** between Union and States **and allocation among States** · (b) principles governing **grants-in-aid** · (bb) augmenting a State's Consolidated Fund for **PANCHAYATS - inserted by the 73rd Amendment** · (c) the same for **MUNICIPALITIES - inserted by the 74th Amendment** · (d) any other matter referred in the interests of sound finance
 - 5 **ART 281:** recommendations **AND an EXPLANATORY MEMORANDUM ON ACTION TAKEN** must be **LAI D BEFORE EACH HOUSE**
 - 6 **"NET PROCEEDS" = proceeds MINUS cost of collection, certified by the CAG**
- QUALIFICATIONS (1951 Act) CHAIRMAN:** EXPERIENCE IN PUBLIC AFFAIRS · the four members: qualified to be a **HIGH COURT JUDGE** · or **special knowledge of government finances and accounts** · or **wide experience in financial matters and administration** · or **special knowledge of economics** · members are eligible for reappointment
- CLASSIFICATION (the F2.10 three-fact rule) FINANCE COMMISSION = CONSTITUTIONAL** · **GST COUNCIL = CONSTITUTIONAL** · **INTER-STATE COUNCIL = CONSTITUTIONAL** · **ZONAL COUNCILS = STATUTORY** · **NITI AAYOG = EXECUTIVE**
- BINDING?** formally **ADVISORY, NOT binding** · **BUT tax-devolution recommendations accepted by UNBROKEN CONVENTION** · grants accepted selectively with reasons stated to Parliament · **80th AMENDMENT 2000** gave effect to the **10th Commission's Alternative Scheme of Devolution**, substituting **Art 270** so a share of **ALL Union taxes** is shareable, and **OMITTING ART 272** · **CESSES AND SURCHARGES REMAIN OUTSIDE THE DIVISIBLE POOL** - the principal State grievance and the sharpest live controversy
- TWO DIFFERENT QUESTIONS VERTICAL = Union vs States as a whole**, a single percentage · **HORIZONTAL = State vs State**, a weighted formula, **zero-sum between States**
- 15th COMMISSION HORIZONTAL WEIGHTS - they sum to 100**
- 1 **INCOME DISTANCE 45%** - rewards **NEED**, the largest weight
 - 2 **POPULATION (2011) 15%**
 - 3 **AREA 15%**
 - 4 **FOREST AND ECOLOGY 10%** - compensates the opportunity cost of forest cover
 - 5 **DEMOGRAPHIC PERFORMANCE 12.5%** - rewards **States that CONTROLLED population growth**, measured by the **INVERSE OF THE TOTAL FERTILITY RATE**
 - 6 **TAX AND FISCAL EFFORT 2.5%**
 - 7 **CHECK: 45 + 15 + 15 + 10 + 12.5 + 2.5 = 100**

THE 2011 CENSUS CONTROVERSY the **14th** used the **1971 census** (the same freeze as Lok Sabha seats in F1.5 and the Presidential election in F1.6) · the **15th** was **DIRECTED** by its terms of reference to use **2011** · **Southern States objected** - they had reduced fertility as national policy asked and were being penalised · **the Commission's answer was DEMOGRAPHIC PERFORMANCE at 12.5%** as an explicit offset · *Southern States argue the compensation is incomplete*

THE COMMISSIONS **1st** - **KC NEOGY, 1951** · **13th** - **VIJAY KELKAR, 32%** · **14th** - **YV REDDY, raised to 42%** (largest ever increase), **discontinued the PLAN/NON-PLAN distinction**, used the **1971 census** · **15th** - **NK SINGH, 41%** (reduced from 42 for J&K's reorganisation into UTs), used **2011**, introduced demographic performance, covered **2021-22 to 2025-26** · **16th** - **ARVIND PANAGARIYA**, constituted **2023**, recommendations from **2026-27**, terms of reference include **DISASTER MANAGEMENT financing** (CONFIRM specific figures)

GRANTS - Art 275 vs Art 282

- 1 **ART 275 - STATUTORY**, on the **Finance Commission's recommendation**, charged on the Consolidated Fund · includes specific grants for **Scheduled Tribes, Scheduled Areas and Assam's tribal areas**
- 2 **ART 282 - DISCRETIONARY** - "any grant for **ANY PUBLIC PURPOSE**", even outside legislative competence · **THE BASIS OF CENTRALLY SPONSORED SCHEMES**
- 3 **The Art 282 controversy**: it lets the Union direct State policy in **State List subjects** by attaching conditional money - **achieving indirectly what Art 246(3) would not permit directly**, echoing **colourable legislation** from F1.8 · *defence: national minimum standards are legitimate and States may decline*
- 4 **THE SHARPEST FORMULATION**: conditional central schemes in State subjects **plus** the exclusion of cesses and surcharges is what States mean by **FISCAL CENTRALISATION despite a formally high devolution percentage**

FINANCE COMMISSION vs PLANNING COMMISSION vs NITI AAYOG FC = CONSTITUTIONAL (Art 280), President, every 5 years, recommends devolution and grants · **PLANNING COMMISSION = EXECUTIVE (1950 Cabinet resolution)**, PM-chaired, **ALLOCATED** plan assistance, **ABOLISHED 2014** · **NITI AAYOG = EXECUTIVE (2015 Cabinet resolution)**, PM-chaired with a CEO, a **THINK TANK** with **NO FUND-ALLOCATION ROLE** · the allocation function reverted to the Finance Ministry and to enlarged FC devolution - which is precisely why the Finance Commission now matters more

STATE FINANCE COMMISSION - Arts 243-I and 243Y constituted by the **GOVERNOR** every **FIFTH YEAR** · **ONE Commission covers BOTH panchayats and municipalities** · composition and qualifications left to **STATE LAW** · recommends distribution of State taxes, assignment of taxes, grants-in-aid, and measures to improve local finances · **recommendations laid before the STATE LEGISLATURE with an action-taken memorandum** - the exact analogue of Art 281

WHY THE TWO BEHAVE SO DIFFERENTLY - four structural reasons

- 1 **the appointing authority has a conflict:** a **State** Government is asked to give money to local bodies **it controls politically**, whereas the Union devolves to **separate governments**
- 2 **qualifications are not constitutionally prescribed** for State Commissions - left to State law, often filled by serving officials
- 3 **there is NO convention of acceptance** at State level, unlike the Union's unbroken acceptance of tax devolution
- 4 **local bodies lack political leverage** - no MPs, no Chief Ministers, no GST Council seat
- 5 **CONSEQUENCE: the third tier's finances are the weakest link - the fiscal counterpart of the THREE Fs from F1.9. Structure was mandated; money, like power, was left to State discretion**
- 6 **THE CONSTITUTIONAL RESPONSE: Art 280(3)(bb) and (c)** give the **UNION** Commission a role in local finance precisely because the State route was expected to be weak - and successive Union Commissions, the **15th especially**, have used **conditional direct grants to local bodies** (requiring timely SFC constitution and audited accounts) **to enforce the discipline Art 243-I failed to produce**

8. Five-Minute Wall Sheet

FIVE-MINUTE WALL SHEET · CHAPTER F1.10 - THE FINANCE COMMISSION

Art 280 · PRESIDENT constitutes · EVERY 5 YEARS · CHAIRMAN + 4 MEMBERS

CHAIRMAN QUALIFICATION: EXPERIENCE IN PUBLIC AFFAIRS

Members: HC-judge qualified · govt finance/accounts · financial matters + administration · economics

1951 ACT prescribes qualifications · CONSTITUTIONAL body

280(3): (a) devolution + allocation · (b) grants principles · (bb) PANCHAYATS (73rd) · (c)

MUNICIPALITIES (74th) · (d) referred matters

ART 281: lay before EACH HOUSE with ACTION-TAKEN MEMORANDUM

NET PROCEEDS = gross MINUS cost of collection, CAG-certified

ADVISORY, not binding — BUT tax devolution accepted by UNBROKEN CONVENTION

80th AMDT 2000: broadened divisible pool to ALL Union taxes · OMITTED Art 272

CESSSES AND SURCHARGES OUTSIDE THE POOL — the big State grievance

VERTICAL = Union vs States · HORIZONTAL = State vs State

14th = 42% (YV REDDY) · 15th = 41% (NK SINGH) · 16th = PANAGARIYA, from 2026-27

1st FC = KC NEOGY 1951 · 13th = KELKAR 32%

15th WEIGHTS: INCOME DISTANCE 45 · POPULATION 15 · AREA 15 · FOREST 10 ·

DEMOGRAPHIC PERFORMANCE 12.5 · TAX EFFORT 2.5 = 100

DEMOGRAPHIC PERFORMANCE = INVERSE OF TOTAL FERTILITY RATE, offsets the 2011 census shift

14th used 1971 census · 15th directed to use 2011 · Southern States objected

14th DISCONTINUED the PLAN / NON-PLAN distinction

Art 275 = STATUTORY grants on FC recommendation · Art 282 = DISCRETIONARY, basis of CSS

Art 282 criticism: directs State policy in State List subjects indirectly

PLANNING COMMISSION ALLOCATED funds · NITI AAYOG DOES NOT (think tank, 2015)

STATE FC: Art 243-I, GOVERNOR, every 5 yrs, ONE for BOTH tiers, laid before STATE LEGISLATURE

SFC WEAKER because: State has a conflict of interest · no prescribed qualifications · NO convention of acceptance · local bodies lack leverage

Art 280(3)(bb)+(c) = the UNION FC given a local-finance role BECAUSE the State route was expected to fail